Branch Expansion: Cohort DID-IV

	First stage		Sample		Second stage		
Shock / sample	Big 4	Wald F	Firms	Pairs	Any failure	Fin restatement	Violation
Panel A: Full period							
Own province: all clients	0.005**	5.30	1,582	44,881	0.876	0.052	-0.244
	(0.002)				(1.615)	(1.592)	(1.389)
Clusters: 31							
Own province: exclude largest	0.006**	6.36	1,565	44,422	0.574	-0.113	-0.253
	(0.002)				(1.420)	(1.411)	(1.263)
Clusters: 31							
Own + neighbors: all clients	0.026***	31.72	759	9,914	1.479**	0.889**	0.633*
	(0.005)				(0.554)	(0.365)	(0.367)
Clusters: 26							
Own + neighbors: exclude largest	0.027***	34.66	741	9,649	1.307**	0.803**	0.525
	(0.005)				(0.528)	(0.366)	(0.351)
Clusters: 26							
Panel B: Through 2012							
Own province: all clients	0.017***	12.23	1,450	24,484	1.119**	0.497	0.639*
	(0.005)				(0.514)	(0.303)	(0.369)
Clusters: 30							
Own province: exclude largest	0.019***	15.46	1,441	24,361	0.986**	0.484*	0.510
	(0.005)				(0.440)	(0.270)	(0.314)
Clusters: 30							
Own + neighbors: all clients	0.026***	24.07	801	9,912	1.081**	0.514*	0.522
	(0.005)				(0.520)	(0.282)	(0.390)
Clusters: 26							
Own + neighbors: exclude largest	0.029***	31.93	782	9,632	0.903*	0.426	0.419
	(0.005)				(0.473)	(0.277)	(0.360)
Clusters: 26							

Controls: size, leverage, loss, ROA, Z-score, change in leverage, report lag, CFO, age, and nine missing indicators.
Fixed effects: firm differencing; cell intercepts; differences in industry × year indicators.
Standard errors: clustered by province.

Notes: Each row reports a separate instrument/sample specification. The first-stage column reports the exposure coefficient for current-year Big 4 appointment; the three right-hand columns report the instrumented Big 4 coefficient. All outcomes are joint indicators of failure and a non-modified audit opinion (MAO=0); Fin is the financial-restatement definition. Coefficients and standard errors use raw 0/1 units. The first stage is identical across the three outcomes within each row. Each cell compares cohort g at $g-1$ and $g+h$, using never-exposed or not-yet-exposed firms as controls. The table reports the ratio of separately aggregated reduced-form and first-stage coefficients over $h = 0, \ldots, 5$. Cell weights equal cohort firm counts observed at $g-1$, normalized over identified cells. Pairs count repeated firm contributions across cells, not unique firm-years. Wald F is the squared clustered first-stage t statistic, not KP F. Ratio standard errors use the joint first-stage/reduced-form covariance across overlapping cells. Coverage is the first entry of any Big 4 in the own province, or in the own/adjacent provinces. Firms whose exposure cohort changes with location are removed in each spatial design. Largest-client exclusions follow the saved pre-entry domestic-audit-fee lists; all years of listed firms are removed. Panel B requires all included outcome years to be no later than 2012. Standard errors are in parentheses; stars use conventional clustered inference. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Weak-instrument confidence sets for DID-IV are available in the accompanying workbook.